It is remarkable that it took so long for the investment community—financial analysts, investment bankers, the business-owner vendors, and professional investors—to understand the simple game performed by the conglomerateurs: Use overpriced stock to buy businesses at a price that allows for growth in earnings per share; promote the growth as a manifestation of managerial skill, and the result of high technology; rinse and repeat. The metric missing from the discussion was the intrinsic value given up and received in each merger. In his shareholder letters, Warren Buffett counselled that managers should consider whether they would complete a sale of their company in its entirety on the same terms as they proposed to complete the sale of a portion of the company, which was the economic reality of a merger.[26] If the transaction amounted to the sale of $2 of the acquirer's intrinsic value in exchange for $1 of the target's intrinsic value, even if it was accretive to earnings per share, they should ask themselves if it was a worthwhile transaction.[27] Part of the confusion arose from the language used to describe the *dilution* of earnings per share in such mergers, which tended to obfuscate rather than clarify the exchange of intrinsic values:[28]

> *The attention given this form of dilution is overdone: current earnings per share (or even earnings per share of the next few years) are an important variable in most business valuations, but far from all powerful. There have been plenty of mergers, non-dilutive in this limited sense, that were instantly value destroying for the acquirer. And some mergers that have diluted current and near-term earnings per share have in fact been value-enhancing. What really counts is whether a merger is dilutive or anti-dilutive in terms of intrinsic business value (a judgment involving consideration of many variables). We believe calculation of dilution from this viewpoint to be all-important (and too seldom made).*

Though they ended up owning the majority of the combination, the dilution of intrinsic value in the merger with Monroe was considerable for Litton's shareholders. Had they fully understood the economic consequences of the transaction, they may have grieved for the quarter of the thriving military electronics business given up for a three-quarter share in a dying mechanical tabulating machine business.

From 1968 onward, the veneer of growth, glamour, and high technology smeared over the conglomerates failed to conceal the increasingly bloated and sluggish businesses underneath. Until then, the booming stock market, low interest rates, and generally bountiful conditions for business had hidden many of the manager's sins, and allowed them to "build [the] house from the roof down," as one humorist described it.[29] As the market turned